DEEPSTACK The Buildout · Part 08 · Memo

INFRASTRUCTURE FINANCE

AI Lenders Are Financing the End of Scarcity

The shortage of power, chips and data-center capacity supports lenders today. But every new dollar also brings the glut that can wreck their collateral.

By DeepStack · September 29, 2026 · Infrastructure Finance · 9 min read on the page · deepstack.ltd/stories/the-scarcity-is-the-collateral/

THE DEEPSTACK CALL

Skeptical Lenders are mispricing scarcity

Lenders are right to finance capacity and wrong to assume it stays scarce. Scarcity is a season; debt is a contract.

Conviction High (4/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Haircut any loan secured by compute scarcity: the collateral decays as supply catches up.
2. Measure cash flow against the $2 trillion it needs, from about $600 billion today, every quarter.
3. Count the $2.7 trillion of off-balance-sheet commitments as leverage, because creditors will.

WHAT WOULD CHANGE OUR MIND

- September-quarter cash flow moves visibly toward $2 trillion.
- The first Blackwell renewal holds its price without new guarantees.

THE FULL ARGUMENT

DeepStack's view is that the financing structure is more fragile than the demand story. The decisive fact is not that AI usage is weak; it is that spending has raced ahead of demonstrated revenue, while cash-flow forecasts depend on roughly tripling operating cash flow from about $600 billion to $2 trillion. Off-balance-sheet commitments near $2.7 trillion and Oracle's negative $28.7 billion free cash flow make scarcity a poor long-lived security. We would change our mind if September-quarter cash flow visibly moved toward $2 trillion, customer concentration fell sharply and the first Blackwell renewal held pricing without new guarantees. A lower renewal, a permit failure or cost-cutting would reinforce the case. The lenders are not wrong to finance capacity. They are wrong to assume capacity stays scarce.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Lenders are mispricing scarcity	High (4/5)	Side named by the owner.	Marco Cauduro
v1	Sep 29, 2026	Lenders are mispricing scarcity	High (4/5)	First call, as published with the story. The conviction, the actions and the flips were set down for the site on October 7, 2026.	DeepStack

BY THE NUMBERS

227 bps
Oracle five-year CDS
Record that week, according to Seeking Alpha

1,146 bps
CCC spread over Treasuries
September 28, 2026; FRED

$2T
Hyperscaler cash-flow target
Torsten Slok's 2030 assumption

$2.7T
Off-balance-sheet commitments
Burry estimate across five hyperscalers

WHO IS ON EACH SIDE

Who writes the checks for the buildout?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: `deepstack.ltd/sides/the-scarcity-is-the-collateral/`

6 VOICES

The cash has to triple

Torsten Slok Sep 29, 2026

The tech silo is betting on a future in which demand for AI and tech services explodes, while the silos covering the companies that would pay for those services see a much more modest outlook, and both cannot be right at the same time.

`www.apollo.com/insights-news/insights/daily-spark/tech-trillion-dollar-internal-inconsistency`

Torsten Slok Sep 11, 2026

In S&P 500 Q2 earnings season data, AI adoption keeps broadening: 69% of companies now point to a live deployment, up from 64% last quarter.

`www.apollo.com/insights-news/insights/daily-spark/from-who-is-deploying-ai-to-who-can-prove-the-roi`

Michael Burry Sep 4, 2026

Alibaba's shift to financing an AI data center buildout through share issuance is a demerit against the investment thesis, as the buildout may be 'practically interminable' without a clear productive path.

Michael Burry Sep 19, 2026

Most analysts covering the former software/social-media/AdTech companies now recast as hyperscalers have never had to model maintenance capital expenditure, and most still are not doing it, or not doing it well.

`michaeljburry.substack.com/p/the-heretics-guide-to-ais-stars-part-c9c`

Daniel Romero Sep 21, 2026

Using a model assuming equipment costs rise to $100 billion per GW by 2030, five-year equipment cost recovery, 25-year site cost recovery, a 15% annual return on invested capital, and a 65% cloud operating margin, AI labs would need to reach $6.8…

`hypertechinvest.com/p/the-math-behind-the-next-ai-rally`

Daniel Romero Sep 21, 2026

Daniel Romero states they are not arguing the buildout is unsustainable, but that one-year compute paybacks will probably become the exception rather than a baseline assumption, possibly dependent on specific timing and shortages, and that 2026…

`hypertechinvest.com/p/the-math-behind-the-next-ai-rally`

THE STRONGEST CASE AGAINST THIS SIDE

Kris Sep 16, 2026

AWS has had more demand than supply, with customers wanting more AWS capacity for AI than could be served despite large Nvidia orders and Amazon's own Trainium chips, and Kris considers this kind of capacity-constrained spending among the best...

Contradicts Daniel Romero on evidence · www.potentialmultibaggers.com/p/best-buys-now-september-2026

5 VOICES

The spending pays

Market Sentiment Sep 17, 2026

Based on their capex sustainability model, Market Sentiment estimates that next year's ~$1.2T+ of AI capex should drive ~$2T of incremental revenue, which they say will only be a fraction of the total incremental revenue AI generates as a business...

www.marketsentiment.co/p/the-next-great-ai-trade-is-everything

Market Sentiment Sep 17, 2026

Aggressive capital spending tends to be suboptimal because after an initial euphoric rise in stock prices tied to rising capex, investors realize they overpaid for the underlying inputs, from land to memory to fiber-optic cables.

www.marketsentiment.co/p/the-next-great-ai-trade-is-everything

Aurelion Research Sep 11, 2026

The customer base is broadening beyond a concentrated set of hyperscalers to enterprises, AI-native companies and cloud providers, with AI-related infrastructure commitments expected to exceed $3.1 trillion, making the next phase of demand less...

read.aurelionresearch.com/p/in-conversation-nvidia

Aurelion Research Sep 11, 2026

Hyperscaler capex is durable rather than at risk of a sudden cut, because the largest spenders keep reaffirming the necessity of AI investment and their EBITDA and EBIT margins are still rising, giving them capacity to keep funding it.

read.aurelionresearch.com/p/in-conversation-nvidia

Kris Sep 16, 2026

AWS has had more demand than supply, with customers wanting more AWS capacity for AI than could be served despite large Nvidia orders and Amazon's own Trainium chips, and Kris considers this kind of capacity-constrained spending among the best...

www.potentialmultibaggers.com/p/best-buys-now-september-2026

THE STRONGEST CASE AGAINST THIS SIDE

DeepValue Capital Sep 25, 2026

Apollo argues the hyperscaler credit story rests on a single consensus assumption that operating cash flow triples from $600 billion to $2 trillion, and that if this does not happen, the AI trade could weaken with credit spreads widening, capex...

Contradicts Market Sentiment on evidence · deepvaluecapitalbykyler.substack.com/p/the-data-is-clear-bargains-are-out

ALSO IN DISPUTE

Cash, or a loop?

2 VOICES

A closed loop

Ed Zitron

Over $1T of GPUs bought to win two unprofitable labs, the source of about 70% of hyperscaler AI revenue.

George Noble

Nvidia now gives a year to pay.

4 VOICES

Real cash, real use

Gaetano Sep 7, 2026

Today's biggest AI infrastructure spenders are large, highly profitable companies like Microsoft, Google, Amazon and Meta, with Microsoft generating more than $55 billion of operating cash flow in its latest quarter and Alphabet roughly $39…

gaetanoresearch.substack.com/p/fiber-optics-boom-bust-how-similar

Gaetano Sep 7, 2026

Moving beyond the hyperscalers, financing becomes messier: neoclouds are borrowing enormous amounts of money, AI labs need compute without necessarily having the cash flow to fund it, NVIDIA is investing throughout the ecosystem, infrastructure…

gaetanoresearch.substack.com/p/fiber-optics-boom-bust-how-similar

Ren Jul 27, 2026

In the August 14, 2026 edition, the author argues: Ren warns the whole theme is AI with more leverage and less liquidity: every fund is under four months old with no track record, the largest is run by a first-time adviser, in a capex pause the…

Ren Sep 15, 2026

AGI is not the investable trade; compute is, because Astra adds a second, inference-driven demand chain (more capable models, more agents, more delegated work, longer inference trajectories, more tokens, more compute) alongside the existing…

renstocks.substack.com/p/openai-astra-has-agi-arrived

THE STRONGEST CASE AGAINST THIS SIDE

Geo Chen Sep 8, 2026

Of the bearish scenarios they warned about when exiting their AI portfolio in June, only the decline in token costs from open and Chinese models gaining market share has come to pass, while AI revenues, capex spending, and bottlenecks remain bullish.

Contradicts Ren on evidence · www.fidenzamacro.com/p/answers-to-ama-questions-part-1

ALSO IN DISPUTE

What are the lenders holding?

2 VOICES

Scarcity as collateral

JunkBondInvestor Sep 13, 2026

Contracted GPU lease rates and second-hand prices have held up even for chips launched 3 to 6 years ago, and compute is now about 60% of hyperscaler capex, so the scarce, short-lived asset is a growing share of what is being financed.

www.junkbondinvestor.com/p/credit-weekly-when-the-pentagon-becomes

JunkBondInvestor Sep 13, 2026

The entire AI buildout has been constrained by scarcity of power, GPUs, transformers, interconnection, skilled labor and ready-to-use capacity, and this scarcity has propped up the economics of everything financed against it by holding up lease…

www.junkbondinvestor.com/p/credit-weekly-when-the-pentagon-becomes

6 VOICES

Guarantees, not faith

Michael Burry Sep 19, 2026

Across the five hyperscalers, uncommenced, non-cancelable data-center leases and purchase commitments together total roughly $2.7 trillion in off-balance-sheet contractual commitments as of the disclosed filing dates, with the total potentially…

michaeljburry.substack.com/p/the-heretics-guide-to-ais-stars-part-c9c

Michael Burry Sep 24, 2026

Meta's data center JV structure shows that the parties closest to the assets do not believe the value will hold: lenders would not bear residual value risk without protection, so Meta issued a residual value guarantee of up to $28 billion on…

michaeljburry.substack.com/p/capital-cycle-iq-and-the-forensic

Steve Eisman Sep 21, 2026

George Noble's bear case for AI rests on the question of actual return on investment; he argues that Nvidia announcing massive funding packages just to keep customers like OpenAI able to keep buying chips shows the money underneath the boom is not…

realeismanplaybook.substack.com/p/stock-picking-in-difficult-times

Steve Eisman Sep 21, 2026

George Noble cites an estimate from Julien Garran at MacroStrategy putting AI malinvestment at roughly twenty four times what was seen during the dot com bubble.

realeismanplaybook.substack.com/p/stock-picking-in-difficult-times

Kakashii Sep 24, 2026

Oracle's free cash flow was positive every year from FY2018 to FY2024, then turned slightly negative in FY2025 (-0.39B), dropped to -23.69B in FY2026 on 55.66B of cash capex, and sits at -28.72B on a trailing twelve months basis through Q1 FY2027…

kakashiii111.substack.com/p/oracle-hyperscaler-or-neocloud-a

Kakashii Sep 24, 2026

Oracle's record Q1 operating cash flow of 23.103B (up 184% YoY) is largely explained by 11.363B of customer prepayments with a significant financing component; excluding that prepayment, operating cash flow would be only about 11.740B (up a more…

kakashiii111.substack.com/p/oracle-hyperscaler-or-neocloud-a

NOT A DISAGREEMENT

The price rises with distance from the hyperscaler

The core: investment-grade spread 83bp, bank default swaps flat near 40bp. One step out: guaranteed debt pays 100 to 150bp over the guarantor. The edge: Oracle CDS at a record, CCC spread 1,146bp.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Steve Eisman contradicts Gaetano on mechanism

Steve Eisman qualifies JunkBondInvestor on condition

Torsten Slok refutes Michael Burry on evidence

Torsten Slok contradicts Aurelion Research on premise

Gaetano qualifies Torsten Slok on evidence

Daniel Romero qualifies Kris on condition

JunkBondInvestor contradicts Market Sentiment on evidence

Torsten Slok qualifies Aurelion Research on evidence

Kakashii qualifies Aurelion Research on condition

Daniel Romero qualifies Michael Burry on evidence

Daniel Romero contradicts Aurelion Research on evidence

Torsten Slok qualifies Ren on mechanism

Gaetano qualifies JunkBondInvestor on condition

Gaetano contradicts Steve Eisman on evidence

Gaetano qualifies Michael Burry on evidence

Kris contradicts Daniel Romero on evidence

Torsten Slok qualifies Kakashii on premise

Daniel Romero qualifies Torsten Slok on evidence

Gaetano qualifies Market Sentiment on mechanism

Daniel Romero qualifies Torsten Slok on mechanism

Gaetano qualifies Daniel Romero on evidence

Daniel Romero qualifies JunkBondInvestor on condition

Michael Burry contradicts Gaetano on evidence

JunkBondInvestor qualifies Torsten Slok on condition

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Oct 29, 2026 `p08-t01` PENDING

September-quarter results test cash flow toward $2 trillion and whether maintenance costs enter accounting.

Question	Did the combined net cash from operating activities of Microsoft, Alphabet, Amazon and Meta for the quarter ended September 30, 2026 exceed their combined figure for the quarter ended June 30, 2026?
Source	SEC EDGAR, the four companies' earnings releases (Form 8-K) and quarterly reports (Form 10-Q) `www.sec.gov/edgar/search/`
Rule	Sum the net cash from operating activities each of the four states for the September quarter and compare it with the same sum for the June quarter. The answer is yes if the September sum is higher; no if it is equal or lower. Whether maintenance capital spending or shorter server lives entered the accounting is DeepStack's reading from the same filings and goes in the Result, not in the answer.
If the source is late, revised or silent	If any of the four has not reported by November 7, 2026, or restates its June quarter, the test is inconclusive, and the Result says what was read and what was missing.

Nov 23, 2026 `p08-t02` PENDING

New Mexico rules on the fuel-cell permit; approval supports schedule, denial turns Oracle’s notice into a warning.

Question	Did the New Mexico Environment Department approve the air-quality permit for the fuel cells at the Project Jupiter campus in Doña Ana County by November 23, 2026?
Source	New Mexico Environment Department, Air Quality Bureau permit decisions `www.env.nm.gov/air-quality/`
Rule	The answer is yes if the department publishes a final permit approval, with or without conditions, on or before November 23, 2026; no if it publishes a denial by that date.
If the source is late, revised or silent	A decision deferred past November 23, a permit withdrawn by the applicant, or an approval under appeal on that date is inconclusive, and the Result says what was read and what was missing.

Feb 1, 2027 `p08-t03` PENDING

Pipeline in-service date tests whether Project Jupiter can secure fuel for its planned campus.

Specification pending

First Blackwell renewal `p08-t04` PENDING

Contract repricing shows whether scarce compute retains value or lenders face faster obsolescence.

Specification pending

Fluidstack terms `p08-t05` PENDING

Government-loan terms reveal the price Washington assigns to financing bottlenecks it wants to remove.

Specification pending

THE TEST CAME IN

No test from this Part has resolved yet. Results are promoted by a person and listed on the Results page.

SOURCES AND FURTHER READING

1. TechCrunch - Oracle force majeure notice · techcrunch.com/2026/09/24/oracle-sends-force-majeure-notice-on-its-new-mexico-stargate-data-center/
2. Seeking Alpha via TradingView - Oracle CDS record · www.tradingview.com/news/seekingalpha:62ed2825e094b:0-hyperscaler-cds-spreads-widen-with-oracle-hitting-record-high/
3. FRED - ICE BofA CCC spread · fred.stlouisfed.org/series/BAMLH0A3HYC
4. Apollo - technology cash-flow mismatch · www.apollo.com/insights-news/insights/daily-spark/tech-trillion-dollar-internal-inconsistency
5. Apollo - hyperscaler credit assumption · www.apollo.com/insights-news/insights/daily-spark/hyperscaler-credit-rests-on-one-consensus-assumption
6. Apollo - AI spending concentration · www.apollo.com/insights-news/insights/daily-spark/ai-adoption-is-spreading-ai-spending-is-concentrating
7. Apollo - AI financing market · www.apollo.com/insights-news/insights/daily-spark/europe-ai-build-out-is-missing-a-financing-market
8. Aurelion Research - Nvidia customer base · read.aurelionresearch.com/p/in-conversation-nvidia

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 21, 2026. Canonical page: https://deepstack.ltd/stories/the-scarcity-is-the-collateral/. Who is on each side: https://deepstack.ltd/sides/the-scarcity-is-the-collateral/.

Analysis and opinion, not investment advice.